

retail investors, we had buy orders for millions of shares. That morning, I was already very long, but I put in buy orders to get more long. The market gapped higher on the opening and started racing away on the upside. We weren't getting filled on anything because there was so little for sale. The market was moving up in gaps with very little volume. In an instant, I completely switched my orders and started selling whatever I could.

What flipped you around?

I recognized in a moment of clarity that if I had reached a fever pitch, in trying to buy at any price, the moment the market turned, it would just head straight down.

And I assume it went down quickly?

It fell about 10 percent from that point that day, and it kept going down in the following days. Everyone had done the same thing. Everyone had come in long in anticipation of an influx of retail buy orders.

Was there a catalyst for your sudden change in sentiment?

Something clicked. I was hysterical. Before the 1987 crash, I was on a desk with experienced traders, and a rumor circulated that you had to buy this small stock called London and Overseas Freight. The stock had started the day at £.10 and I had bought it at £.12. The stock kept on going up all through the day, £.13, £.14, £.15, £.16 The guys on the desk who hadn't bought couldn't stand the pain of not being in, and they got long. And the stock just kept going higher and higher. Finally, one trader who had not bought the stock was on the squawk box to the floor saying, "Where is it now?"

The answer came back, "It's at 22."

I remember these words to this day. He said, "I don't care what I have to pay, just get me in!"

He got filled at £.23. It never traded higher, and it closed the day at £.12. The stock eventually went to nothing. It was just a microcosm of hysteria. It might have been my recognition of the same type of hysteria in myself years later that triggered my about-face in Euro Disney. I may